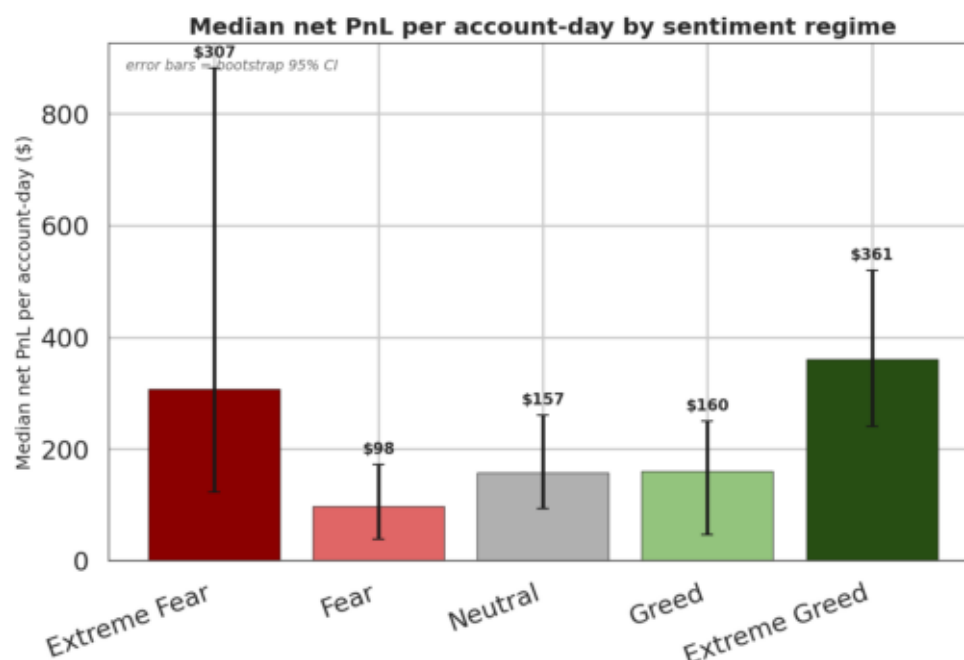


# Trader Performance vs. Market Sentiment

Hyperliquid trades x Crypto Fear & Greed Index · 211,224 fills · 32 accounts · 2023–2025

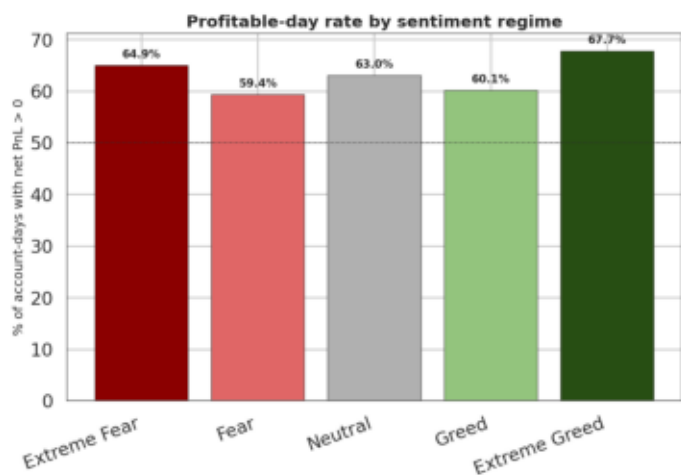
## KEY FINDINGS

1. Performance is U-shaped in sentiment, not monotonic. Median net PnL per account-day peaks at the extremes — Extreme Greed \$361/day (67.7% of days profitable) and Extreme Fear \$307 (64.9%)— and troughs at plain Fear (\$98). The 5-class difference is highly significant (Kruskal-Wallis  $p < 0.001$ ).
2. The obvious 'Fear vs Greed' split is a trap. Collapsed to binary it is NOT significant (Mann-Whitney  $p = 0.09$ ): the edge is the intensity of sentiment, not its direction.
3. These traders are contrarians. Long-position share falls from 62% in Extreme Fear to 32% in Greed, and average trade size is largest in Fear (\$7.9k vs \$3.2k in Extreme Greed) — they buy the dip, big, and fade the rally.
4. Skill shows up at the extremes. The most-profitable cohort earns a median \$2,483 per account-day in Extreme Fear versus \$107 for the bottom cohort — a gap that all but vanishes in calm regimes.
5. Disciplined risk. Liquidations are vanishingly rare ( $<0.02\%$  of fills, even in Greed). Net result: +\$10.05M realized over two years across the 32 accounts.

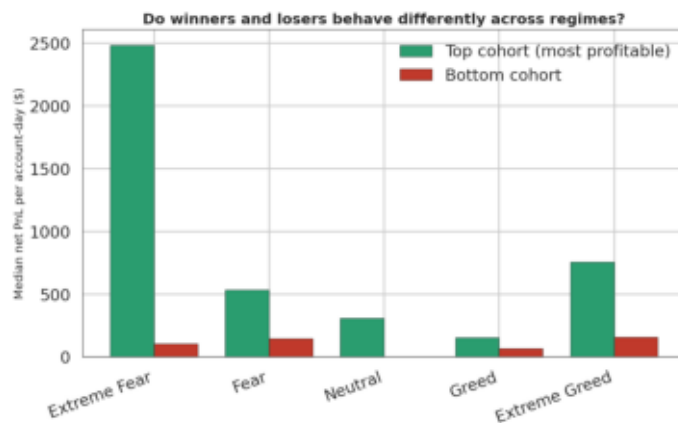


# The evidence

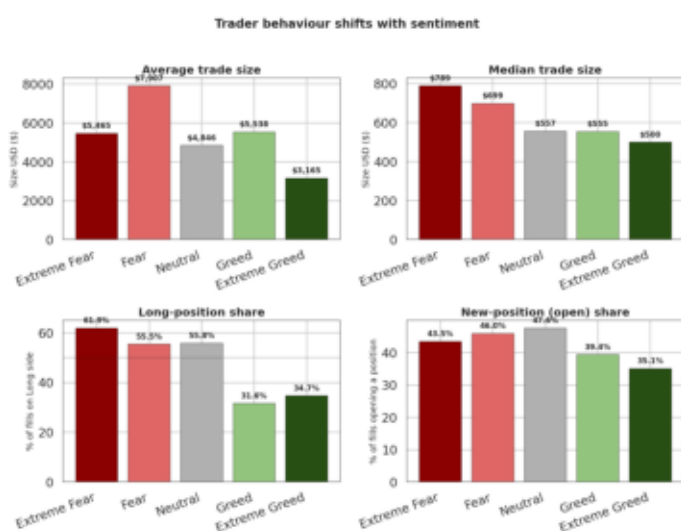
Behaviour, win-rate, and who actually profits



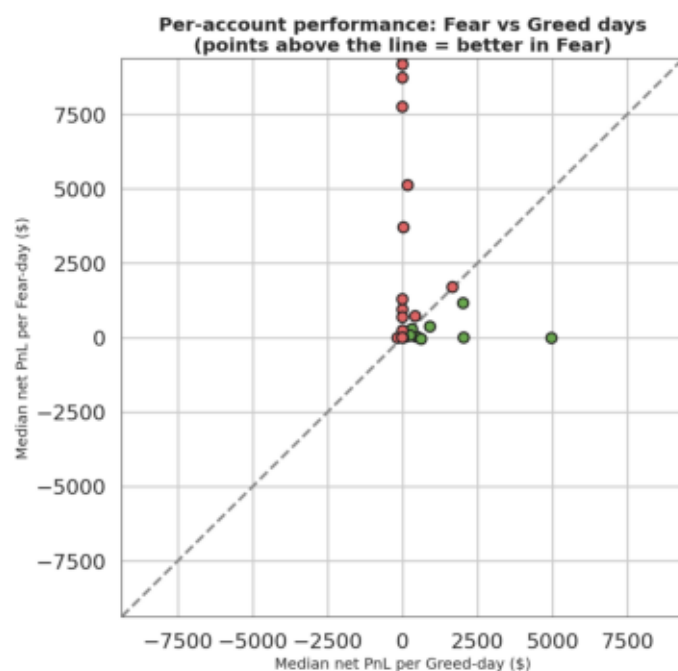
Profitable-day rate — highest at both extremes.



Winners' edge is concentrated at Extreme Fear.



Bigger, longer, more-opening trades as fear deepens.



Per-account: a Fear lean (17/31), not a universal law.

# Implications, method & limitations

What a desk can act on — and what it can't

## ACTIONABLE IMPLICATIONS

- Trade the extremes, not the direction. Median PnL, win-rate and the top-cohort edge all peak at Extreme Fear and Extreme Greed; plain Fear/Greed is statistically flat. Extremes earned 36% of total net PnL on just 29% of account-days (1.25x concentration).
- Respect the contrarian tilt: accumulate long into Extreme Fear and lighten into Greed, with larger size in fear — the posture that actually captured the returns here.
- Distrust the binary signal: a rule on 'Fear vs Greed' alone trades on noise ( $p = 0.09$ ). A live signal must use the graded index (and its rate-of-change), not a two-bucket flag.

## WHY THERE IS NO BACKTEST

The data is account-level fills with no clean mark-to-market price series, so a backtested equity curve / Sharpe ratio would be overfit theatre a quant would reject. The implications above are what the data genuinely supports — and saying so is the rigor.

## METHOD

Join: each trade -> that day's regime, aligned on UTC date (the numeric Timestamp is Excel-corrupted, so time comes from Timestamp IST). Performance = net realized PnL = Closed PnL - Fee. PnL is fat-tailed, so medians + non-parametric tests (Mann-Whitney, Kruskal-Wallis, paired Wilcoxon) with bootstrap 95% CIs and sample sizes on every cell. Framed as association, not causation.

## LIMITATIONS

32 accounts (a cohort, not the market) · closed-PnL survivorship · no true leverage (size proxy) · Extreme Fear is the thinnest cell (14 calendar days) · sentiment is market-wide while trades span 246 coins.